

Blockmediary: Legal and Compliance Risk Assessment

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Introduction

Blockmediary is a programmable documentary escrow layer for small and medium sized enterprise cross border trade. The product locks stablecoin, specifically USDC on the Base network, into a smart contract, verifies the trade documents a seller submits against agreed release conditions, and releases the funds once those conditions are satisfied. This mechanism creates regulatory surface area across six distinct domains: crypto asset and stablecoin regulation, payment services law, anti money laundering and know your business and know your customer obligations, data privacy law, trade finance law, and consumer and business protection law. The purpose of this assessment is to work through each domain in turn, across the jurisdictions Blockmediary has identified as realistic near term markets, namely the United Kingdom, the European Union, and the United Arab Emirates, and to record why Turkey has been excluded as a target market despite the size of its trading relationship with the Gulf region.

The assessment is organised as follows. The first section addresses the regulatory position in the United Kingdom, the second addresses the European Union, and the third addresses Turkey briefly, as an excluded jurisdiction rather than an active one. The fourth section addresses the United Arab Emirates, distinguishing between the federal mainland regime and the more accessible free zone frameworks. The fifth section addresses risks that cut across all jurisdictions rather than belonging to any single regulator, such as sanctions screening, trade based money laundering, and the legal standards that govern documentary release itself. The sixth section consolidates the regulatory instruments referenced throughout the assessment into a single index. The seventh section compares Blockmediary's compliance posture against the closest competing platforms. The eighth and final section sets out the confirmed United Arab Emirates launch route among the three principal Emirati jurisdictions available to a fintech entrant, and records why the earlier choice was superseded. This document is a working compliance reference prepared for an academic hackathon project and does not constitute legal advice; qualified legal counsel should be sought before Blockmediary operates in any of the jurisdictions discussed with real funds or real users.

Blockmediary has validated the core escrow mechanism on testnet as a proof of concept. Mainnet deployment for real value would additionally require licensing or Virtual Asset Service Provider registration, resolution of client asset custody status, sanctions screening, resolution of the General Data Protection Regulation question raised by the on-chain specification hash, and an independent security audit. These requirements are set out throughout this assessment as a forward looking compliance roadmap, not as requirements already satisfied.

1. United Kingdom Regulatory Risks

1.1 Stablecoin Issuance and Cryptoasset Custody

The Financial Conduct Authority published consultation paper CP25/14 in May 2025, setting out proposed rules for firms that issue qualifying stablecoins and for firms that provide custody of cryptoassets (Financial Conduct Authority, 2025a). The final rules are expected during 2026 and the regime will take effect once it clears parliamentary approval. Blockmediary does not issue USDC, Circle does, so the issuance limb of CP25/14 is not directly engaged. The custody limb is a closer question. If Blockmediary's smart contract ever holds USDC on behalf of a buyer or seller in a manner that amounts to safeguarding a cryptoasset as a regulated activity, the proposed client asset framework for cryptoassets would require authorisation, segregation of customer assets, and custody arrangements that meet the Financial Conduct Authority's standards. Blockmediary's response is architectural rather than purely legal. By using a smart contract escrow model in which funds sit in the on chain contract rather than in a wallet Blockmediary itself controls, the product moves away from the clearest form of custody, but this is a technical description rather than a complete regulatory conclusion. A subsequent readiness review of the United Arab Emirates pathway reached the same view and it is adopted here for all jurisdictions: regulators generally examine who can cause, prevent, reverse, upgrade or recover a transfer, and who bears responsibility to the client, so Blockmediary should not describe itself as definitively non custodial until that control analysis over the release key, contract administration and recovery rights has been documented (Transakt, 2026). For production use, the safer path is to partner with an authorised cryptoasset custodian for any component of the flow that does resemble safeguarding. For the hackathon build, the product operates on testnet with mock USDC, so no regulated custody activity is actually triggered, but the Policy Statement expected in the summer of 2026 should be monitored and the architecture reassessed once the final rules are published.

1.2 Crypto Asset Service Provider Licensing

Consultation paper CP25/40 sets out the Financial Conduct Authority's broader framework for regulating cryptoasset activities, extending the existing Financial Services and Markets Act 2000 regime to cover exchange, custody, and related cryptoasset services provided to United Kingdom persons (Financial Conduct Authority, 2025b). Whether Blockmediary needs to register or seek authorisation under this expanded regime depends on how its role in arranging or operating the escrow is characterised. The existing cryptoasset registration regime under the Money Laundering Regulations focuses narrowly on anti money laundering compliance, but the new framework introduces conduct, prudential, and consumer protection obligations that go considerably further. Blockmediary's approach is to take legal advice on whether its activity constitutes a regulated cryptoasset service under the new regime, while operating in

testnet only during the hackathon phase so that no United Kingdom persons transact with real funds. For production, the team should budget for a twelve to eighteen month authorisation timeline, or alternatively consider launching first in a free zone jurisdiction such as the Abu Dhabi Global Market or the Dubai International Financial Centre, where the path to authorisation is comparatively cleaner, before returning to the United Kingdom market once the domestic regime has settled.

1.3 Payment Services

The Payment Services Regulations 2017 implement the European Union's second Payment Services Directive into United Kingdom law and regulate the provision of payment services (UK Government, 2017b). If Blockmediary's escrow function is characterised as holding funds on behalf of parties, or as executing payment transactions, it could constitute a payment service requiring authorisation as a payment institution or an electronic money institution. The smart contract escrow model partially mitigates this concern because funds pass directly into the contract rather than through an account Blockmediary operates, but the release instruction, the step at which Blockmediary authorises the on chain transfer, may still be characterised as execution of a payment transaction. The mitigation is twofold. First, Blockmediary should obtain a legal opinion on whether the release instruction itself constitutes execution of a payment transaction under the regulations. Second, in all product communications and legal documentation, Blockmediary's role should be framed consistently as verification and orchestration rather than as payment execution, and for production deployment the fiat on and off ramp layer should be delivered through a partnership with an already licensed payment institution rather than by Blockmediary seeking its own licence for that specific function.

1.4 Anti Money Laundering, Know Your Business, and Know Your Customer

The Money Laundering, Terrorist Financing and Transfer of Funds Regulations 2017, as amended, require cryptoasset businesses to apply customer due diligence, transaction monitoring, and suspicious activity reporting (UK Government, 2017a), and the European Union's sixth Anti Money Laundering Directive tightens the equivalent obligations across the European Union (European Parliament and Council, 2018). Underlying this procedural framework is the Proceeds of Crime Act 2002, which makes money laundering a criminal offence in the United Kingdom and creates the money laundering reporting officer's mandatory suspicious activity report obligation under section 330 (UK Government, 2002). A failure to file a suspicious activity report where one is required is a criminal offence for both the firm and the individual reporting officer, and the Terrorism Act 2000 creates a parallel disclosure obligation for suspected terrorist financing (UK Government, 2000b). Blockmediary is a virtual asset service provider under the Financial Action Task Force's definition, since it facilitates the transfer and custody of virtual assets,

and this triggers the full suite of anti money laundering and counter financing of terrorism obligations. Trade based money laundering is a particular concern in cross border trade escrow, since over invoicing, under invoicing, phantom shipments, and document fraud are established typologies within this sector. Blockmediary's mitigation is to implement a compliance gate before any escrow is funded, requiring both parties to complete know your business and know your customer checks, sanctions screening, and wallet screening, using a reputable provider such as Sumsb, Jumio, or Onfido, and to maintain a trade based money laundering red flag checklist that watches for invoice prices inconsistent with market rates, unusual shipment routes, vague goods descriptions, and discrepancies across submitted documents. A United Kingdom money laundering reporting officer should be appointed for production operation, bearing in mind that this individual carries personal criminal liability under section 330 of the Proceeds of Crime Act for failure to disclose. A related complication arises where a third party platform or freight forwarder initiates a deal on behalf of a buyer and seller rather than the principals approaching Blockmediary directly. In that scenario, Blockmediary must ensure that know your customer and know your business checks on the underlying principals are performed either directly by Blockmediary or by a third party acting under regulation 39 of the Money Laundering Regulations, which permits reliance on third parties subject to strict conditions: the third party must itself be subject to equivalent anti money laundering obligations, a written reliance agreement must be in place, and Blockmediary must be able to obtain the underlying customer due diligence data within two business days of request. A platform initiated deal should never be permitted to fund before the underlying buyer and seller have been verified under one of these two routes.

1.5 The Financial Action Task Force Travel Rule

Recommendation 16 of the Financial Action Task Force, as revised in June 2025, requires virtual asset service providers to collect, verify, and transmit originator and beneficiary information alongside virtual asset transfers above a threshold that in most jurisdictions sits at the equivalent of one thousand United States dollars or euros (Financial Action Task Force, 2025). Every escrow funding and release transaction that Blockmediary processes is a virtual asset transfer for these purposes, so the Travel Rule requires Blockmediary to collect and, where the counterparty is itself a virtual asset service provider, share identifying information about both parties. The revised standards take full effect domestically across most jurisdictions by the end of 2030, but the United Kingdom, the European Union under the Markets in Crypto Assets Regulation, and the United Arab Emirates are already implementing equivalent requirements ahead of that deadline. Because Blockmediary already collects full know your business and know your customer data at onboarding as part of its anti money laundering programme, this same dataset satisfies the Travel Rule's data requirement, and for wallet to contract transfers the product should implement Travel Rule data transmission to counterpart virtual asset service providers where both sides of a

transaction are themselves regulated as such. During the hackathon phase, testnet transactions do not trigger a live obligation, but the compliance design should document how this requirement would be satisfied in production.

1.6 Data Privacy

The retained United Kingdom General Data Protection Regulation and the European Union's General Data Protection Regulation impose obligations on any entity processing the personal data of United Kingdom or European Union residents, including a lawful basis for processing, purpose limitation, data minimisation, a right to erasure, and breach notification duties (European Parliament and Council, 2016). The central tension for Blockmediary is that on chain immutability is structurally incompatible with the right to erasure under Article 17: any personal data written to a public blockchain cannot subsequently be deleted. A live architectural risk sits within this tension. The full product design commits a cryptographic hash of the canonical escrow specification to the Base network at the point a deal is created, and that specification contains party names and know your customer reference identifiers. Even though a hash is not the underlying plaintext, where Blockmediary controls both the off chain store containing the names and the on chain hash, the hash can be linked back to an identified individual, which brings it within the functional definition of personal data under the General Data Protection Regulation, and committing that hash to an immutable public ledger creates a permanent record that cannot be erased, in direct tension with Article 17. This question has not yet been closed and requires a design decision before the product moves to mainnet. The confirmed architectural position, however, is that all personal data is kept off chain: the smart contract stores only wallet addresses, deal amounts, state transitions, and document hashes, never names, documents, or know your customer records. On chain wallet addresses are linked to off chain identity records through an internal pseudonymous reference rather than directly by name. Blockmediary intends to resolve the specification hash problem before mainnet deployment by stripping personal data from the specification entirely before it is hashed, which is the simplest of the available options, alongside publishing a privacy notice, appointing a data protection officer for production, and implementing a seventy two hour breach notification procedure to the Information Commissioner's Office consistent with the retained United Kingdom regime.

1.7 Smart Contract Legal Enforceability

The Law Commission published a report in 2021 confirming that smart contracts can constitute legally binding agreements under English law, while identifying continuing uncertainty around offer and acceptance, consideration, mistake, and available remedies (Law Commission, 2021). Blockmediary's smart contract automatically enforces financial obligations, including fund release and refund, which raises the question of whether the smart contract itself is the binding agreement between the parties or merely the execution mechanism for a separate agreement

negotiated off chain. A related complication is that on chain state transitions, once executed, may not be reversible even where a court later orders that they should be. Blockmediary's response is to maintain a separate signed Trade Escrow Agreement in natural language that governs the substantive rights of the parties, treating the smart contract as the automated execution layer for that agreement rather than the agreement itself. The Trade Escrow Agreement specifies English law as the default governing law, reflecting its maturity for commercial and trade finance disputes, and includes an explicit clause addressing the relationship between on chain outcomes and the underlying agreement, together with a dispute escalation path to an external forum such as the International Chamber of Commerce's DOCDEX procedure or arbitration under the London Court of International Arbitration.

1.8 The Electronic Trade Documents Act 2023

The Electronic Trade Documents Act 2023 came into force in September 2023 and was the first United Kingdom statute to give electronic trade documents, including electronic bills of lading, ship's delivery orders, sea waybills, and warehouse receipts, the same legal status as paper originals under English law (UK Government, 2023). The Act is based on the United Nations Commission on International Trade Law's Model Law on Electronic Transferable Records, and equivalent legislation has been adopted in Singapore, Bahrain, and within the Dubai International Financial Centre, all of which are relevant to Blockmediary's target corridors (UNCITRAL, 2017). Blockmediary accepts uploaded trade documents as the basis for releasing escrowed funds, and the legal validity of an electronic bill of lading in particular, specifically whether it functions as a document of title giving its holder the right to claim the goods, depends on whether the Act's requirements are satisfied. Central to this is the Act's control requirement: a person has control of an electronic trade document only where they can use it, transfer it, and prevent others from doing so simultaneously, meaning a document that can be freely copied, such as a portable document format file circulated by email, does not qualify, because it does not enforce singularity of control. Releasing funds against a document that fails this test exposes Blockmediary to liability for treating a legally invalid document as equivalent to an original. For the minimum viable product, Blockmediary's mitigation is to accept scanned paper documents only, which sidesteps the Act's requirements entirely since scanned originals remain valid as paper documents, and to defer support for genuine electronic bills of lading to a post launch phase in which the platform integrates with an Act qualifying electronic system such as Bolero, essDOCS, or WaveBL, rather than accepting an ordinary electronic file as if it were equivalent.

1.9 The Financial Conduct Authority's Consumer Duty

The Consumer Duty, introduced through policy statement PS22/9 and in force since July 2023, substantially expanded the Financial Conduct Authority's previous Principles for Businesses framework for firms whose products reach retail customers, requiring firms to deliver good

outcomes across four pillars: products and services, price and value, consumer understanding, and consumer support (Financial Conduct Authority, 2022). The Duty applies not only to firms with a direct retail relationship but to firms anywhere in the distribution chain through which a retail product reaches an end user. The central question for Blockmediary is whether its small and medium sized enterprise buyers and sellers count as retail customers under the Financial Conduct Authority's definition, which excludes only large institutional counterparties and professional clients meeting specific financial sophistication thresholds that most small and medium sized enterprises will not meet. If, as is likely, most of Blockmediary's users are retail customers for these purposes, the Consumer Duty applies in full, and its obligations go considerably beyond the older Principles for Businesses framework: the consumer understanding pillar requires that all communications, including marketing materials, terms of service, and the Trade Escrow Agreement itself, be tested against whether a reasonable small or medium sized enterprise in the target market would genuinely understand what it is agreeing to and what risks it is accepting, and the Duty imposes a proactive obligation to pursue good outcomes rather than merely to avoid harm. Blockmediary's mitigation is to conduct a formal retail and professional client classification exercise for its target users, to design the product and its communications around the consumer understanding standard from the outset, and to build a complaints handling process that satisfies the Financial Conduct Authority's dispute resolution rules, including an eight week written response obligation and referral rights to the Financial Ombudsman Service for eligible complainants. This obligation applies to the production product; it is not triggered by a testnet build with no real users.

2. European Union Regulatory Risks

2.1 The Markets in Crypto Assets Regulation

The Markets in Crypto Assets Regulation is the European Union's comprehensive framework for crypto asset activity (European Parliament and Council, 2023). Title III governs asset referenced tokens, stablecoins pegged to multiple assets, requiring authorisation by a national competent authority, reserve requirements, and whitepaper disclosure. Title IV governs e money tokens, stablecoins pegged to a single fiat currency, which must be issued by an authorised credit institution or electronic money institution. Title V governs crypto asset service providers and requires authorisation to provide services including custody, exchange, and transfer of crypto assets within the European Union, with full application from December 2024 and national transitional arrangements expiring on 1 July 2026. USDC is an e money token under this classification, and Circle, its issuer, must itself hold Markets in Crypto Assets authorisation to issue USDC within the European Union, which it obtained through electronic money institution authorisation in France in 2024 (European Banking Authority, 2024). Separately, Blockmediary itself may qualify as a crypto asset service provider if it provides crypto asset transfer or custody

services to European Union persons, which would require its own Markets in Crypto Assets authorisation, since the national transitional arrangements that some firms currently rely upon expire on 1 July 2026, after which operating without authorisation for European Union users becomes unlawful. Blockmediary's mitigation is to confirm with Circle that the specific USDC deployment it uses remains compliant with the regulation, to apply for crypto asset service provider authorisation with a national competent authority ahead of any European Union market entry, which requires an entity established within the European Union, and in the interim to treat the Abu Dhabi Global Market or the Dubai International Financial Centre as the initial regulatory home from which European Union authorisation can later be sought.

2.2 The Digital Operational Resilience Act

The Digital Operational Resilience Act came into full force on 17 January 2025 and applies to financial entities operating in the European Union, including crypto asset service providers authorised under the Markets in Crypto Assets Regulation (European Parliament and Council, 2022). The Act establishes a harmonised framework for information and communication technology risk management, comprising a mandatory risk management framework, mandatory incident reporting to competent authorities, digital operational resilience testing including threat led penetration testing for significant firms, and contractual requirements governing third party technology providers. The Act is not a standalone licence; rather, it is a compliance obligation that automatically attaches once a firm holds a Markets in Crypto Assets authorisation, so the two cannot be addressed separately. Blockmediary's target architecture depends on several third party technology providers, including Anthropic for artificial intelligence based document analysis, a roadmap capability not yet delivered in the current prototype, which instead uses a deterministic rules engine, cloud infrastructure for document storage and the audit ledger, a know your business and know your customer provider, and a blockchain node provider for mainnet access, each of which counts as a third party information and communication technology provider under the Act, requiring a documented risk assessment, contractual terms covering audit rights and exit arrangements, and inclusion in Blockmediary's technology risk register. A significant incident, such as compromise of the releaser key discussed in section five, a prolonged outage of the document verification service, or a breach affecting the know your customer database, would all be reportable under the Act's escalating timeline: an initial notification within four hours of classification, an intermediate report within seventy two hours, and a final report within one month. Blockmediary's mitigation is to build its technology risk framework alongside, rather than after, its Markets in Crypto Assets authorisation application, to maintain a register of every third party technology provider with its associated risk classification and contractual terms, and to designate an incident classification and reporting function, which at minimum viable product stage can sit with the Chief Compliance Officer.

2.3 Electronic Identification and Trust Services

The eIDAS 2.0 Regulation, published in April 2024, governs electronic identification and trust services across the European Union and introduces the European Union Digital Identity Wallet alongside an updated legal framework for electronic signatures, under which a qualified electronic signature carries the same legal effect as a handwritten signature in every member state (European Parliament and Council, 2024). In the United Kingdom, the equivalent framework is the Electronic Communications Act 2000 (UK Government, 2000a). The Trade Escrow Agreement is a binding contract between buyer, seller, and Blockmediary, and its enforceability across European Union jurisdictions depends on the electronic signature method used to execute it. A simple click through acceptance or an unconfirmed email may not satisfy the higher signature standard some member states require for certain contract types, and a wallet signature produced through signing in with an Ethereum address does not currently qualify as a qualified electronic signature because it is not issued by a qualified trust service provider, although it is arguably an advanced electronic signature in the sense that it is uniquely linked to the signatory's private key and can detect subsequent tampering. Blockmediary's mitigation is to specify explicitly in the Trade Escrow Agreement which signature method has been used for a given deal, whether click through acceptance, wallet signature, or a third party signing platform, and to offer an advanced electronic signature option through a qualified trust service provider such as DocuSign or Signicat for higher value or contested deals. Under the United Kingdom's more functional approach in the Electronic Communications Act 2000, both click through acceptance and wallet signatures should be treated as valid provided the parties clearly intend to be bound by them, and the Trade Escrow Agreement includes an explicit clause confirming that intention.

3. Turkey: An Excluded Jurisdiction

Turkey is excluded from Blockmediary's target markets, and this section records why rather than analysing the jurisdiction as an active target. Three instruments drive the exclusion. The Central Bank of the Republic of Turkey's Regulation No. 2021/14 bans the use of crypto assets, including stablecoins, as a means of payment for goods and services within Turkey (Central Bank of the Republic of Turkiye, 2021). This is the primary hindrance, because it prohibits precisely what Blockmediary's product does: using a stablecoin to settle a commercial transaction. Stablecoins may still be held and traded on licensed platforms in Turkey, but they cannot be used to pay for a shipment, which makes the core product unusable for any deal in which a Turkish resident or entity is a buyer or seller. Second, Law No. 7518, which amended Turkey's Capital Markets Law in 2024, brings crypto asset service providers under the supervision of the Capital Markets Board and sets a minimum capital requirement of one hundred million Turkish lira, equivalent to roughly two point three million pounds sterling, for platforms seeking authorisation, with a certificate of authorisation required by 30 June 2026 (Republic of Turkiye, Grand National

Assembly, 2024). This capital threshold is a further hindrance independent of the payments ban, since it would require a dedicated Turkish entity holding substantial capital purely to serve a market Blockmediary cannot legally transact in under the payments ban regardless. Third, Turkey's Personal Data Protection Law, known as KVKK, imposes its own cross border data transfer regime that would apply to any know your customer data collected from Turkish users (Republic of Türkiye, Grand National Assembly, 2016), but this consideration is secondary and dormant, since the payments ban already excludes Turkey before any data protection question arises. Taken together, the payments ban makes the product illegal to operate in Turkey regardless of licensing, the capital requirement makes licensing prohibitively expensive even if the ban did not exist, and the data protection regime adds a further compliance layer on top of both. Turkey is therefore excluded from Blockmediary's target markets as a considered decision rather than an oversight, to be revisited only if the underlying regulatory position changes materially.

4. United Arab Emirates Regulatory Risks

4.1 The Mainland Regime and the CBUAE Overlay

The Central Bank of the United Arab Emirates regulates payment tokens, defined as crypto assets fully backed by one or more fiat currencies and used for settlement or transfer, under its Payment Token Services Regulation, effective since August 2024 (Central Bank of the United Arab Emirates, 2024a). Any entity issuing, redeeming, or facilitating payment tokens on the mainland must hold a Central Bank licence, and Federal Decree Law No. 6 of 2025 extends this oversight to decentralised finance, cross chain bridges, and broader Web3 infrastructure, with a one year transition period running to September 2026 (United Arab Emirates, 2025). Facilitating USDC denominated escrow for mainland parties may therefore require a Central Bank licence, such as a stored value facility or payment services licence, and administrative penalties for unlicensed activity reach one billion United Arab Emirates dirhams. Blockmediary's mitigation is to avoid the mainland regime entirely at this stage by routing launch activity through the Dubai International Financial Centre and a separate Virtual Assets Regulatory Authority licensing track, discussed in sections 4.2 and 4.3.

This mainland avoidance does not, however, close the question entirely. Article 2 of the Payment Token Services Regulation excludes Financial Free Zones from its definition of the United Arab Emirates, but a locally licensed virtual asset service provider may still need to apply for a non-objection registration to custody or transfer certain foreign payment tokens (Central Bank of the United Arab Emirates, 2024b). Whether a United Arab Emirates buyer may lawfully prefund USDC or EURC into Blockmediary's escrow to settle a physical goods purchase, and whether the Dubai International Financial Centre partner or the Virtual Assets Regulatory Authority entity separately needs a Central Bank licence, registration or non-objection for that specific flow, remains an open legal gate that differs depending on whether the transaction is structured

within the Dubai International Financial Centre, on the mainland, or cross border to a United Arab Emirates person. Written advice on this point should be obtained before any live United Arab Emirates launch (Transakt, 2026).

4.2 The Dubai International Financial Centre Partner-Led Pilot

Following further discussion within the team, including an existing relationship with a Dubai International Financial Centre connected partner, Blockmediary's near term United Arab Emirates route is a partner-led pilot within the Centre rather than an independent licence application. A Dubai International Financial Centre partner-led pilot is not itself a named Dubai Financial Services Authority licence category. It is an operating arrangement in which a Dubai Financial Services Authority authorised firm acts as the regulated principal and Blockmediary supplies the technology, document verification and workflow layer beneath it. A Dubai International Financial Centre Commercial or Innovation Licence gives Blockmediary a legal presence in the Centre but does not itself authorise regulated financial services (Transakt, 2026). Under the Authority's outsourcing rules, the authorised partner remains responsible for the outsourced functions, must conduct due diligence on and supervise Blockmediary as provider, and, where the arrangement is material, must notify the Authority and maintain written outsourcing and contingency arrangements (Dubai Financial Services Authority, 2026). The partner agreement and responsibility matrix are therefore the central regulatory instrument for the pilot, not a licence held by Blockmediary itself.

Minimum requirements before the pilot may accept live funds include a written regulatory perimeter opinion mapping the customer journey, entities, wallet flows, release key and smart contract control; verification that the partner's actual Dubai Financial Services Authority permissions cover the specific custody, settlement and customer activity involved, not merely generic fintech or payment permissions; an executed partner term sheet and outsourcing agreement covering scope, audit rights, incident reporting and termination; a written responsibility matrix assigning customer contracting, onboarding, sanctions screening, wallet screening, safeguarding, release approval and loss liability; and a defined pilot envelope limited to business to business customers, deal values at or below the fifty thousand pound automation threshold, approved low risk corridors, and manual sign off available on every release. The Dubai Financial Services Authority's Innovation Testing Licence is not assumed to be required or sufficient for this route: it is a restricted sandbox for a firm that itself needs to test a regulated activity, and should be pursued only if the Authority or counsel concludes Blockmediary will itself conduct regulated activity during testing, not treated as a default or cheap substitute for a properly structured partner arrangement (Transakt, 2026).

4.3 Virtual Assets Regulatory Authority Licensing for Scale

Alongside, and starting from the same point in time as, the Dubai International Financial Centre pilot, Blockmediary pursues its own Virtual Assets Regulatory Authority licence for wider Dubai scale. The Authority regulates virtual asset activity outside the Dubai International Financial Centre, and an application must be made through a non-Centre entity, meaning Blockmediary needs a separate legal entity or group company established outside the Centre, with a physical Dubai office and two full time, fit and proper Responsible Individuals (Transakt, 2026). The Authority licenses each activity separately, and the closest apparent fit for Blockmediary is Virtual Asset Transfer and Settlement, covering the transmission or settlement of virtual assets from one entity or wallet to another, which matches the product's release of escrowed stablecoin to the seller once documentary conditions are satisfied. Whether Custody Services also applies is conditional rather than settled: direct smart contract funding helps, but the server side release key and any administration, upgrade or recovery rights Blockmediary retains may still amount to control or safekeeping requiring a written opinion. Broker Dealer Services, covering arranging or matching orders to buy or sell virtual assets, is not established by the current model, since Blockmediary settles a physical goods sale rather than arranging a token purchase or sale, and should not be assumed mandatory (Transakt, 2026). If Custody is ultimately required, the Authority's rules generally require Custody to sit in a legally separate entity from other virtual asset activities, with only limited scope to combine Custody and Transfer and Settlement subject to the Authority's approval and strict operational segregation, so the assumption that one entity will hold all three activities should not be treated as settled.

The Authority does not publish a guaranteed approval timeline. The two workstreams start together at inception, modelled as Month 1: the Dubai International Financial Centre pilot targets its first paid transaction in Month 12, and the Virtual Assets Regulatory Authority application targets a full licence in Month 18 in the base case, with Month 12 retained only as an early case where the activity perimeter resolves quickly and remediation is minimal, and Month 24 as a delayed case reflecting regulatory or partner remediation. Approval to Incorporate or in principle approval at an earlier stage is not permission to serve customers, and Virtual Assets Regulatory Authority scale activity should begin only from the effective date of the full licence (Transakt, 2026). Indicative fees for a broad, three activity scope sit around one hundred and seventy thousand dirhams in application fees, four hundred and eighty thousand dirhams a year in supervision, and a capital floor of approximately one and a half million dirhams, though a narrower activity scope, for instance Transfer and Settlement alone, would reduce each figure materially; a Transfer and Settlement only scope is closer to forty thousand dirhams in application fees, eighty thousand dirhams a year in supervision, and a capital floor of the higher of five hundred thousand dirhams or twenty five per cent of fixed annual overhead (Virtual Assets Regulatory Authority, 2025b). These remain conservative planning placeholders pending a written activity opinion, not confirmed fees.

4.4 Data Protection

The United Arab Emirates' federal Personal Data Protection Law applies to any entity processing the personal data of United Arab Emirates residents regardless of where that entity is located, and requires a lawful basis for processing, data minimisation, a data protection officer for high volume sensitive processing, and breach notification (United Arab Emirates, 2021). Executive regulations remain pending as of early 2026, with a six month implementation grace period expected once they are published. Know your business and know your customer data collected from United Arab Emirates users, including passports, business registration documents, and wallet data linked to identity, is personal data under this law. The Dubai International Financial Centre maintains its own Data Protection Law of 2020, arguably more mature than the federal law and the relevant framework for the Centre entity conducting the partner-led pilot, and it requires its own notification where applicable (Dubai International Financial Centre, 2020). The separate Virtual Assets Regulatory Authority entity, established outside the Centre, falls instead under the federal law directly. Blockmediary's mitigation is to align with the federal law's core principles across both entities now, to comply with the Centre's own framework and notification requirements for the Dubai International Financial Centre entity specifically, and to monitor the federal executive regulations once published so that any additional requirements can be implemented within the grace period.

5. Cross Cutting Risks

5.1 Sanctions Screening

Because Blockmediary's model spans multiple trade corridors, every deal potentially involves a party, a wallet, a category of goods, or a corridor subject to sanctions imposed by the Office of Foreign Assets Control, the United Nations Security Council, His Majesty's Treasury, or the United Arab Emirates. Blockmediary's mitigation is to screen both parties, all wallets, the category of goods, and the trade corridor against every applicable sanctions list before allowing escrow funding, to re-screen at the point of document review and again at the point of fund release, since sanctions can be imposed between deal creation and settlement, to maintain a blocked countries, blocked goods, and blocked corridors list, and to escalate any hit to the Chief Compliance Officer before proceeding under any circumstances.

5.2 Trade Based Money Laundering

Cross border trade escrow is a recognised vector for trade based money laundering. The established red flags include an invoice value inconsistent with the market price of the goods described, a vague goods description such as general merchandise, unusual trade routes or transshipment points, shipment to or from a high risk jurisdiction, repeated transactions between

the same parties with changing terms, and alterations or inconsistencies across successive versions of a submitted document. Blockmediary's mitigation is to build a trade based money laundering red flag checklist into the document review workflow, to add artificial intelligence assisted document extraction once that roadmap capability is delivered to flag price and quantity inconsistencies automatically, to require mandatory human review before any release involving a first time counterparty pairing, and to train document reviewers on the Financial Action Task Force's published typologies for this form of laundering. The current prototype's deterministic rules engine already performs the equivalent checks on submitted structured fields.

5.3 Governing Law, Jurisdiction, and Dispute Forum

Without a clear governing law and dispute resolution clause, a dispute between a buyer in one jurisdiction and a seller in another over a Blockmediary structured escrow risks jurisdictional confusion. Blockmediary's mitigation is to default to English law as the governing law, given its maturity for commercial and trade finance disputes, to default to the International Chamber of Commerce's DOCDEX procedure for documentary disputes and to London Court of International Arbitration or International Chamber of Commerce arbitration for larger commercial disputes (International Chamber of Commerce, 2015), while allowing parties to elect an alternative governing law or forum within the set of jurisdictions Blockmediary supports, with the chosen clause recorded explicitly in the Trade Escrow Agreement template.

5.4 Smart Contract Security and Audit

A bug or exploit in the escrow smart contract could result in the loss of user funds, and regulators including the Financial Conduct Authority, the Virtual Assets Regulatory Authority, and the Turkish Capital Markets Board increasingly expect cryptoasset firms to demonstrate security standards. During the hackathon, the mitigation is limited to code review and peer testing, with the build clearly marked as a testnet minimum viable product, but production deployment requires an independent smart contract audit from a reputable firm before real funds are placed at risk, alongside role based access control, a multi signature requirement for the release authority, and a time lock mechanism, backed by a bug bounty programme once the audit is complete.

Within this category, releaser key compromise is the single most severe technical risk Blockmediary faces. The releaser role's private key is the sole bridge between an off chain compliance verdict and the corresponding on chain state transition, meaning that an attacker who compromises this key can move any deal to a release pending state regardless of whether the underlying documents were actually compliant, can redirect funded deals toward a refund, and cannot be stopped once a malicious transaction has been submitted to the chain. This is not merely a technical incident; it is a customer funds loss event that would trigger breach notification to the Financial Conduct Authority under the payment services or cryptoasset

regime, incident reporting to the Virtual Assets Regulatory Authority within twenty four hours under its Rulebook, potential criminal liability under the Proceeds of Crime Act, and civil liability to the affected buyers and sellers. Blockmediary's mitigation for production is to hold the releaser key in a hardware security module or a threshold signature scheme rather than a conventional hot wallet, to implement role rotation so that the releaser key can be replaced immediately on suspected compromise without redeploying the contract, to pause the contract immediately on suspected compromise using a separate, ideally multi signature, administrator key, and to maintain a documented incident response sequence running from pause, to revocation, to rotation, to an audit ledger review, and finally to regulatory and user notification.

A related risk is that the same pause capability that protects against key compromise can also function as a censorship lever if misused: once a deal has reached a release pending state, meaning the documents have been verified as compliant and any objection window has expired without a valid objection, the seller has a contractual right to payment, and invoking a pause at that point exposes Blockmediary to a breach of contract claim. Blockmediary's mitigation is to define exhaustive, narrow grounds for pausing in the Trade Escrow Agreement, limited to a suspected exploit or critical vulnerability, a regulatory direction or court order, or a confirmed sanctions hit discovered after the verdict was recorded, to treat any other use of the pause function as a breach, to require joint approval from the Chief Compliance Officer and the Chief Technology Officer before a pause is invoked, and to notify both parties immediately with the stated reason and an estimated resolution timeline whenever a pause does occur.

5.5 Documentary Credit Standards

Blockmediary positions its product as applying the logic of a documentary credit without requiring an issuing bank, so the International Chamber of Commerce's Uniform Customs and Practice for Documentary Credits, universally known as UCP 600, functions as an inherited operational standard even though Blockmediary's Trade Escrow Agreement is a distinct instrument and not itself a letter of credit (International Chamber of Commerce, 2007). A number of UCP 600 articles translate directly into requirements for Blockmediary's document verification engine. Articles 4 and 5 establish the autonomy principle, under which a documentary credit deals only in documents rather than in the underlying goods or performance, meaning that once Blockmediary's rules engine confirms compliant documents, funds must release even where the buyer separately claims the goods themselves are defective, a position that must be disclosed clearly in the Trade Escrow Agreement. Article 14(a) sets a five banking day examination window, which Blockmediary must replicate as a hard review deadline, since missing it precludes the platform from later treating documents as non compliant. Article 14(b) permits data to differ in wording across documents provided it does not conflict, so Blockmediary's automated checker should flag genuine conflicts, such as a quantity stated as five thousand metric tonnes on the invoice against five metric tonnes on the bill of lading, rather

than immaterial differences in phrasing. Article 14(c) requires a transport document to be presented within twenty one days of the shipment date, which Blockmediary must validate against the stated shipment date. Article 14(d) requires the goods description on the invoice to match the underlying agreement exactly, while other documents need only avoid inconsistency, a distinction the verification engine must preserve rather than applying a uniformly strict or uniformly loose standard. Article 14(g) provides that a condition without a named supporting document is disregarded, so every compliance condition Blockmediary builds into a deal must map to a specific document. Article 15 makes a complying presentation mandatory to honour, removing any discretion to delay release once compliance is confirmed, and Article 16 requires that refusal be accompanied by an itemised discrepancy notice within the same five banking day window, with late notice forfeiting the right to rely on non compliance, which Blockmediary's rejection workflow must mirror, including a mechanism for the buyer to waive a discrepancy. Article 17 requires at least one original of each document, which the upload flow must enforce, with electronic documents governed separately by the eUCP supplement (International Chamber of Commerce, 2019). Article 18 sets four checks for a commercial invoice: that it is issued by the seller, that the buyer is the named consignee, that the currency matches the deal currency, a point of particular importance for a USDC denominated escrow, and that the goods description matches exactly. Article 20 sets the corresponding checks for a bill of lading: an on board notation with a date, a named vessel, a clean document with no damage clause, and matching ports of loading and discharge, all of which the verification engine must parse. Article 27 makes clear that any damage or defect clause on a transport document removes it from automatic processing and requires human review. Article 28 requires that where insurance is required, typically under a cost, insurance, and freight or carriage and insurance paid term, cover must be at least one hundred and ten per cent of the relevant value, must extend to the destination, and cannot be satisfied by a mere cover note. Article 30 sets tolerances of plus or minus ten per cent where a quantity is qualified as about or approximately, and plus or minus five per cent otherwise, which the verification engine's tolerance logic must implement directly.

The International Chamber of Commerce's Incoterms 2020 rules operate alongside UCP 600 and determine which documents a given deal requires, since the Incoterm agreed between buyer and seller fixes where risk transfers, who bears freight and insurance costs, and which documents the seller must produce (International Chamber of Commerce, 2020). Getting the document checklist wrong for the stated Incoterm either exposes the buyer to an incomplete presentation being accepted or exposes the seller to a compliant presentation being wrongly rejected. Terms requiring insurance, cost, insurance, and freight and carriage and insurance paid, demand an insurance certificate rather than the cover note UCP 600 Article 28(c) prohibits, and carriage and insurance paid specifically requires cover to Institute Cargo Clauses A, the all risks standard the 2020 revision introduced in place of the narrower C clauses used previously. Delivered duty paid terms require evidence of import customs clearance, the absence of which

produces an incomplete presentation. Free on board, cost and freight, and cost, insurance, and freight all require an on board bill of lading, and although these sea and inland waterway terms are technically inappropriate for containerised cargo, they remain widely used in practice, so Blockmediary's verification engine must accommodate the practice while flagging the technical mismatch for review. The 2020 revision also renamed delivered at terminal to delivered at place unloaded and permits the buyer's own carrier to issue an on board bill of lading to the seller under free carrier terms, resolving a long standing mismatch between that term and documentary credit practice, and Blockmediary should build this election into deal setup as an option. Ex works terms are not recommended on the platform for cross border deals, because the seller bears almost no documentary obligation under that term, which makes Blockmediary's release logic largely unworkable. Blockmediary's mitigation across both standards is to require the Incoterm to be specified at deal setup and to generate the document checklist dynamically from it, to validate that the transport mode matches the Incoterm selected, to check that any required insurance certificate meets the correct Institute Cargo Clauses standard and value threshold, and to include a representation in the Trade Escrow Agreement that the stated Incoterm governs the parties' documentary obligations without any duty on Blockmediary's part to verify physical delivery beyond the documentary evidence presented.

5.6 Export Controls

Independently of sanctions, several export control regimes impose a positive obligation to obtain a licence before shipping certain categories of goods, regardless of whether either counterparty is sanctioned. The United Kingdom's Export Control Order 2008 covers military goods and dual use goods mirroring the European Union's dual use list, administered by the Export Control Joint Unit (UK Government, 2008). The European Union's Dual Use Regulation, updated in 2021, covers goods, software, and technology with both civilian and military applications, including encryption, certain chemicals, optical equipment, and electronics (European Parliament and Council, 2021). The United States Export Administration Regulations and International Traffic in Arms Regulations apply to United States origin goods, United States technology, and transactions involving United States persons regardless of where Blockmediary itself is incorporated, meaning that a seller shipping United States origin goods subject to the Export Administration Regulations may need a licence from the Bureau of Industry and Security even where the transaction is structured through a United Kingdom or United Arab Emirates entity (US Bureau of Industry and Security, 2024; US Directorate of Defense Trade Controls, 2024). A cross border escrow platform that releases payment for a shipment of export controlled goods without checking for a valid export licence risks facilitating an illegal export, a criminal offence under each of these regimes. Dual use goods are not confined to obviously military items; they include encryption software, certain chemicals, precision optics, drone components, thermal imaging equipment, and high performance computers, categories a small or medium sized enterprise exporter may

not recognise as controlled. Blockmediary's target market already excludes sanctioned corridors and high risk regulated goods in principle, but this exclusion requires an operational mechanism rather than a policy statement alone. Blockmediary's mitigation is to add an export control goods category screen to the deal intake compliance gate, distinct from sanctions screening, collecting the goods description, the Harmonised System code, and the origin and destination countries at intake, and cross referencing these against the United Kingdom and European Union dual use lists and the United States Commerce Control List, requiring the seller to confirm and evidence a valid export licence where the goods fall on a controlled list, maintaining a controlled goods category list within the platform's rules engine, and consulting export control counsel before onboarding any corridor involving United States origin goods or United States persons.

6. Regulatory Reference Index

The instruments referenced throughout this assessment are consolidated here by jurisdiction. In the United Kingdom, the relevant instruments are the Financial Conduct Authority's consultation papers CP25/14 on stablecoin issuance and cryptoasset custody and CP25/40 on the broader regulation of cryptoasset activities (Financial Conduct Authority, 2025a,b), the Payment Services Regulations 2017 (UK Government, 2017b), the Money Laundering Regulations 2017 as amended (UK Government, 2017a), the retained United Kingdom General Data Protection Regulation (European Parliament and Council, 2016), the Law Commission's 2021 report on smart legal contracts (Law Commission, 2021), the Electronic Trade Documents Act 2023 (UK Government, 2023), the Consumer Duty under policy statement PS22/9 (Financial Conduct Authority, 2022), the Electronic Communications Act 2000 (UK Government, 2000a), the Proceeds of Crime Act 2002 (UK Government, 2002), the Terrorism Act 2000 (UK Government, 2000b), and the Export Control Order 2008 (UK Government, 2008).

In the European Union, the relevant instruments are the Markets in Crypto Assets Regulation (European Parliament and Council, 2023) and the European Banking Authority's guidance on asset referenced and e money tokens issued under it (European Banking Authority, 2024), the General Data Protection Regulation (European Parliament and Council, 2016), the sixth Anti Money Laundering Directive (European Parliament and Council, 2018), the Digital Operational Resilience Act (European Parliament and Council, 2022), the eIDAS 2.0 Regulation (European Parliament and Council, 2024), and the Dual Use Regulation (European Parliament and Council, 2021).

In Turkey, the relevant instruments, retained here for reference despite the jurisdiction's exclusion, are Law No. 7518 governing capital markets and crypto asset service provider licensing (Republic of Türkiye, Grand National Assembly, 2024), Central Bank Regulation No. 2021/14 banning crypto asset payments (Central Bank of the Republic of Türkiye, 2021), and the Personal Data Protection Law known as KVKK (Republic of Türkiye, Grand National Assembly, 2016).

In the United Arab Emirates, the relevant instruments are the Central Bank’s Payment Token Services Regulation and its Article 2 exclusion of Financial Free Zones (Central Bank of the United Arab Emirates, 2024a,b), Federal Decree Law No. 6 of 2025 extending oversight to decentralised finance and Web3 infrastructure (United Arab Emirates, 2025), the Virtual Assets Regulatory Authority’s Rulebook version 2.0, its Schedule 1 activity definitions, and its Schedule 2 supervision and authorisation fees (Virtual Assets Regulatory Authority, 2025c,a,b), the federal Personal Data Protection Law (United Arab Emirates, 2021), the Dubai International Financial Centre’s Data Protection Law (Dubai International Financial Centre, 2020), the Dubai Financial Services Authority’s crypto token regime and its outsourcing rules under GEN 5.3.21 to 5.3.22 (Dubai Financial Services Authority, 2022, 2026), and the internal readiness review reconciling all three regulators against Blockmediary’s product architecture (Transakt, 2026). The Abu Dhabi Global Market’s Data Protection Regulations and the Financial Services Regulatory Authority’s digital asset guidance (Abu Dhabi Global Market, 2021; Financial Services Regulatory Authority, Abu Dhabi Global Market, 2026) are retained here only because the Abu Dhabi Global Market was considered and moved away from, as recorded in section 8; they are not part of the confirmed launch route.

Globally applicable instruments include the Financial Action Task Force’s Recommendation 16 on the travel rule (Financial Action Task Force, 2025), the Uniform Customs and Practice for Documentary Credits, UCP 600, and its electronic supplement, the eUCP (International Chamber of Commerce, 2007, 2019), Incoterms 2020 (International Chamber of Commerce, 2020), the International Chamber of Commerce’s DOCDEX dispute resolution procedure (International Chamber of Commerce, 2015), the United Nations Commission on International Trade Law’s Model Law on Electronic Transferable Records (UNCITRAL, 2017), and the United States Export Administration Regulations and International Traffic in Arms Regulations (US Bureau of Industry and Security, 2024; US Directorate of Defense Trade Controls, 2024).

7. Competitive Landscape: Compliance Comparison

Understanding how the closest competing platforms handle compliance and release logic sharpens Blockmediary’s own positioning. Tazapay operates one of the largest cross border payment and escrow infrastructure platforms for business to business trade, collecting payments from buyers, holding them in escrow, and releasing them to sellers once agreed conditions are met, and it also supports conversion between stablecoins and fiat currency (Tazapay, 2025). It operates across seventy markets for collections and pays out to over one hundred countries, and is licensed in Singapore, Canada, Australia, and the United States, with licence applications pending in the United Arab Emirates and the European Union. Its release model is buyer discretion: although Tazapay checks some documents, funds are ultimately released when the buyer clicks approve rather than through an independent documentary compliance check. This is

the key distinction from Blockmediary, whose release is triggered by document compliance regardless of whether the buyer separately approves, a mechanism much closer to how a letter of credit functions, and Tazapay has no on chain smart contract component at all.

Truzo is a regulated digital escrow and payment platform originally focused on the United Kingdom to South Africa trade corridor, and is notable as the first Financial Conduct Authority approved digital escrow service focused on Africa, partnering with Currencycloud for cross border currency conversion (Financial Technology Futures, 2023). It is smaller and corridor focused, backed by the United Kingdom's Department for International Trade, and operates in fiat only. Its release model is traditional escrow, holding funds in a bank account and releasing them on delivery confirmation, with no blockchain or smart contract component. Truzo is, in substance, a digital version of a conventional escrow agent running on ordinary banking rails, whereas Blockmediary targets a broader set of corridors using on chain stablecoin escrow with documentary release logic.

XREX operates a Taiwanese crypto financial platform whose cross border escrow product, BitCheck, escrows stablecoins and other cryptocurrencies between buyers and sellers for business to business transactions, with all users passing through know your customer and anti money laundering verification (XREX, 2025). It is licensed by the Monetary Authority of Singapore, registered as a money services business in the United States, and has entered Lithuania for European Union market access, though it holds no confirmed licence in the United Kingdom or the United Arab Emirates. Its release model, like Tazapay's, is buyer discretion: the seller requests release after shipping and the buyer then approves it, meaning the buyer can still delay or block payment even where the underlying documents are fully compliant. XREX is the closest competitor in the sense that it also uses stablecoin escrow for cross border trade, but its release model is buyer approval rather than documentary compliance, which is precisely the gap Blockmediary's Uniform Customs and Practice for Documentary Credits inspired release logic closes: once documents are verified compliant, funds must release and the buyer cannot simply refuse, which is what makes Blockmediary a genuine letter of credit alternative rather than a digital hold and release service. XREX's primary markets in Taiwan, Singapore, and Southeast Asia also do not significantly overlap with Blockmediary's target markets in the United Kingdom, the European Union, and the United Arab Emirates.

Komgo operates a blockchain based platform for commodity trade finance, principally oil, gas, metals, and agricultural commodities, digitising and accelerating the existing letter of credit process rather than replacing it, and its principal users are large commodity traders and banks, backed by institutions including Societe Generale, ING, ABN AMRO, and Citi (ConsenSys, 2020). It runs on JPMorgan's Quorum, an Ethereum variant, connected to the Vakt post trade platform, and uses smart contracts to automate letter of credit matching and processing, cutting turnaround from roughly ten days to roughly one hour in production. Critically, however, the letter of credit itself remains the underlying legal instrument; Komgo is the digital rail

beneath it rather than a replacement for it. Because Komgo modernises letters of credit for large commodity traders and banks rather than serving small and medium sized enterprises directly, it is not a direct competitor to Blockmediary, though its document verification and smart contract architecture remain worth studying as a reference point and a potential future integration partner for institutional commodity trade flows.

Contour represented the most ambitious attempt to replace the traditional letter of credit with a blockchain based alternative, backed by nine major banks including HSBC, Standard Chartered, Citi, and BNP Paribas, and built on R3's Corda blockchain, before winding down in November 2023 (Ledger Insights, 2023). The stated reasons for its closure were that its bank shareholders withdrew funding, the platform was processing only sixty to seventy transactions per month at the point of closure, no single lead investor existed to drive strategic direction, and the surrounding regulatory frameworks took too long to catch up with what the platform was attempting to build. Contour's failure left the letter of credit replacement space open rather than closed. Its core lesson for Blockmediary is architectural: Contour tried to bring banks onto a new shared network, whereas Blockmediary bypasses the banking layer entirely through a smart contract model that does not depend on bank participation to function. Because pitch audiences and regulators alike are likely to already know Contour's history, framing Blockmediary as having learned from that specific failure, rather than simply asserting novelty, is a stronger and more credible narrative.

Across all five comparators, the pattern that emerges is consistent: none of Tazapay, Truzo, or XREX releases funds on the basis of documentary compliance, all three instead relying on some form of buyer discretion or delivery confirmation, Komgo digitises the letter of credit rather than replacing it and is not aimed at small and medium sized enterprises, and Contour attempted a genuine replacement but failed for governance and funding reasons rather than technical ones. Blockmediary's defensible differentiator is therefore documentary release itself: funds move when the submitted documents are verified as compliant, not when a counterparty elects to approve them, which is the specific mechanism that closes the gap left open by every one of these five comparators.

8. United Arab Emirates Launch Route: DIFC Pilot and VARA Scale

This section previously weighed a single choice of regulatory home among the Jebel Ali Free Zone Authority, the Dubai International Financial Centre, and the Abu Dhabi Global Market, and recommended incorporating in the Abu Dhabi Global Market first. That recommendation has since been superseded. Following a team decision informed by an existing relationship one of the founders holds with a Dubai International Financial Centre connected partner, and by the more detailed readiness analysis summarised in sections 4.2 and 4.3, Blockmediary's confirmed route

is a Dubai International Financial Centre partner-led pilot run in parallel with an independent Virtual Assets Regulatory Authority licence application, rather than a single free zone choice or an Abu Dhabi Global Market first sequence. The Abu Dhabi Global Market is not part of the confirmed plan and is not discussed further here; it is recorded as a route the team considered and moved away from, for transparency, rather than omitted silently.

The two tracks are legally distinct and start together at inception, modelled as Month 1. The Dubai International Financial Centre track, detailed in section 4.2, gives Blockmediary an early, controlled route to paying customers under an authorised partner's permissions, targeting a first paid transaction in Month 12. It does not by itself make Blockmediary a regulated entity, and Blockmediary should not describe itself as Dubai Financial Services Authority authorised unless and until it separately obtains that authorisation. The Virtual Assets Regulatory Authority track, detailed in section 4.3, builds Blockmediary's own licensed platform for wider Dubai scale through a legal entity established outside the Centre, targeting a full licence in Month 18 in the base case. Running both from Month 1 avoids making the scale track wait for pilot revenue, while retaining the pilot as the nearer term route to real customer evidence.

The Jebel Ali Free Zone Authority remains relevant only in the same narrow role identified previously: it is a logistics and trading free zone, not a financial services regulator, and could house a holding or commercial subsidiary for physical goods related activity if the team wanted one, but it has no role in either the Dubai International Financial Centre pilot or the Virtual Assets Regulatory Authority licence and is not discussed further.

On data protection, the confirmed route means the Dubai International Financial Centre's own Data Protection Law of 2020 is the operative free zone framework, since the Centre entity is the one conducting the partner-led pilot, while the separate Virtual Assets Regulatory Authority entity, established outside the Centre, falls under the federal Personal Data Protection Law directly rather than under a second free zone framework, as set out in section 4.4. European Union residents' data remains subject to the General Data Protection Regulation directly regardless of where Blockmediary is incorporated, so neither entity's location exempts the product from that separate obligation.

Three points of continuing uncertainty, carried over directly from the readiness report, should be tracked as open items rather than treated as resolved by this route decision. First, whether Blockmediary's release key, contract administration and recovery design amount to custody or control under either the Dubai Financial Services Authority's or the Virtual Assets Regulatory Authority's rules is not yet settled and determines entity structure and capital. Second, the exact Virtual Assets Regulatory Authority activity scope, and in particular whether Custody Services applies alongside Transfer and Settlement, is not yet confirmed and affects fees, capital and whether a further separate entity is required. Third, the Central Bank of the United Arab Emirates treatment of United Arab Emirates denominated USDC or EURC settlement remains a

hard legal gate independent of which free zone or licence route is chosen, discussed in section 4.1. The single most valuable next step identified in the readiness review is a single integrated perimeter memorandum, prepared with counsel and covering the Dubai Financial Services Authority, Virtual Assets Regulatory Authority and Central Bank positions together, rather than three separate opinions (Transakt, 2026).

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